

IN EARLY 2021, when the government was planning to extend the production-linked incentive (PLI) scheme that it introduced in 2020, India's air-conditioner (AC) manufacturers met Guruprasad Mohapatra (since deceased), then secretary of the Department for Promotion of Industry and Internal Trade (DPIIT). The delegation, led by Kanwaljeet Jawa, MD & CEO of Daikin Airconditioning India and President of the Refrigerator and Air Conditioner Manufacturers Association, sought a slice of the flagship scheme to make India self-sufficient in AC manufacturing. Soon after, stakeholders like NITI Aayog, Invest India and the commerce ministry were roped in. By early-November 2021, 26 companies—including Blue Star, Havells, Voltas, Johnson Controls-Hitachi, and Daikin—secured approvals on their investment proposals, and things started to move.

This example showcases the government's desire to engage with industry in finding ways to make a complex, and critical, scheme work. Designed to incentivise manufacturing across 14 sectors, PLI has become a rallying point for the government's desire to promote local manufacturing and turn India into a global exports hub. The fundamental premise is for manufactur-

ers to pump in money to increase production in their factories (new or old), and then for the government to pay back a share of the value of incremental production over a five-year period. In the process, the government hopes to create 6 million jobs between 2021-22 and 2026-27 (per a written submission in the Rajya Sabha by Rameswar Teli, Union Minister of State for Labour and Employment) and add more muscle to India's GDP.

The potential is big. An analysis by S&P Global's CRISIL Market Intelligence & Analytics (MI&A) says the scheme could attract ₹2.76 lakh crore worth of capex from the private sector over seven years—2020-21 to 2026-27. That is expected to help increase India's average industrial capex to ₹5.7 lakh crore a year between 2022-23 and 2026-27, from ₹3.7 lakh crore a year in the previous five years. It would also enable private capex to form 9 per cent of the country's total capex over the next five years.

Sounds good? It does indeed. Sounds easy? It certainly is not. Any scheme that banks on building manufacturing capacity will take time to fly because it takes time to set up that capacity, especially when it involves hundreds of companies across 14 industries. Then, each industry has its own lobbies and nuances, and their demands can create conflicts and tangles with the government's own needs and objectives, especially given that the scheme is being implemented by multiple ministries and departments. It is, therefore, no surprise that several fundamental issues dog the PLI scheme even three years after it was introduced.

Government officials *BT* spoke with are optimistic about the prospects of the scheme. "The Covid-19-related disruptions impacted

the PLI in the initial phase as they delayed investments, setting up of plants by manufacturers and their projected targets. But with economic activities now back to normal, 2023-24 will be the first year of production for many large sectors," a senior official tells *BT* on condition of anonymity. In line with CRISIL's estimates, the government expects the incentive payout to peak in 2025-26 and 2026-27.

While both government and industry are hopeful of things improving from FY24, the path ahead is strewn with thorns and potholes.

SLOW AND UNSTEADY

Let's take a look at the caveats. First, the contribution of PLI to GDP is a matter of debate. "The government is going to spend nearly ₹2 lakh crore in incentives, which would be on average, 5 per cent of the incremental production. This means, the GDP is set for a \$520-billion boost through PLI over the period," Amitabh Kant, G20 Sherpa and former CEO of NITI Aayog, tells *BT*. But industry experts are circumspect. According to Mohammad Athar, Partner-Economic Development and Infrastructure at PwC India, average incentives across the 14 sectors could be higher than 5 per cent. "For certain sectors, the incentive could be as high as 8-12 per cent compared to the average 4-6 per cent for others. Which means the extent of jump in production may not be 20 times of the total incentive offered by the government," he says. Essentially, if the discount (incentive) given by the government is higher than 5 per cent, the value of the incremental production will not be 20 times, because the multiple exceeds 100 per cent, which isn't possible.

Second, implementation has